base year was 1958–59). The data is collected at 76 centres with one month's frequency and the index has a time lag of one month. It contains 120–160 commodities in its basket.

Basically, this index specifies the government employees (other than banks' and embassies' personnels). The wages/salaries of the central government employees are revised on the basis of the changes occurring in this index, the dearness allowance (DA) is announced ***twice*** a year. When the Pay Commissions recommend pay revisions, the base is the CPI (IW).

II. CPI-UNME

The Consumer Price Index for the Urban Non-Manual Emplyees (CPI-UNME) has 1984–85 (first base year was 1958–59) as the base year and 146–365 commodities in the basket for which data is collected at the 59 centres in the country—data collection frequency is monthly with two weeks time lag.[41]

This price index has limited use and is basically used for determining dearness allowances (DAs) of employees of some foreign companies operating in India (i.e. airlines, communications, banking, insurance, embassies, and other financial services). It is also used under the Income Tax Act to determine ***capital gains*** and by the CSO (Central Statistical Organisation) for deflating selected service sector's contribution to the GDP at factor cost and current prices to calculate the corresponding figure at constant prices.

On the advice of its governing council the NSSO (National Sample Survey Organisation) is at present conducting a Family Living Survey (FLS) to obtain the profile of the present consumption pattern of urban non-manual employees so that the CPI (UNME) could be shifted to the present base year.

Presently, the CSO is also examining the possibility of constructing a consumer price index for the urban employees (a new index which might be like CPI - UE!).

III. CPI-AL